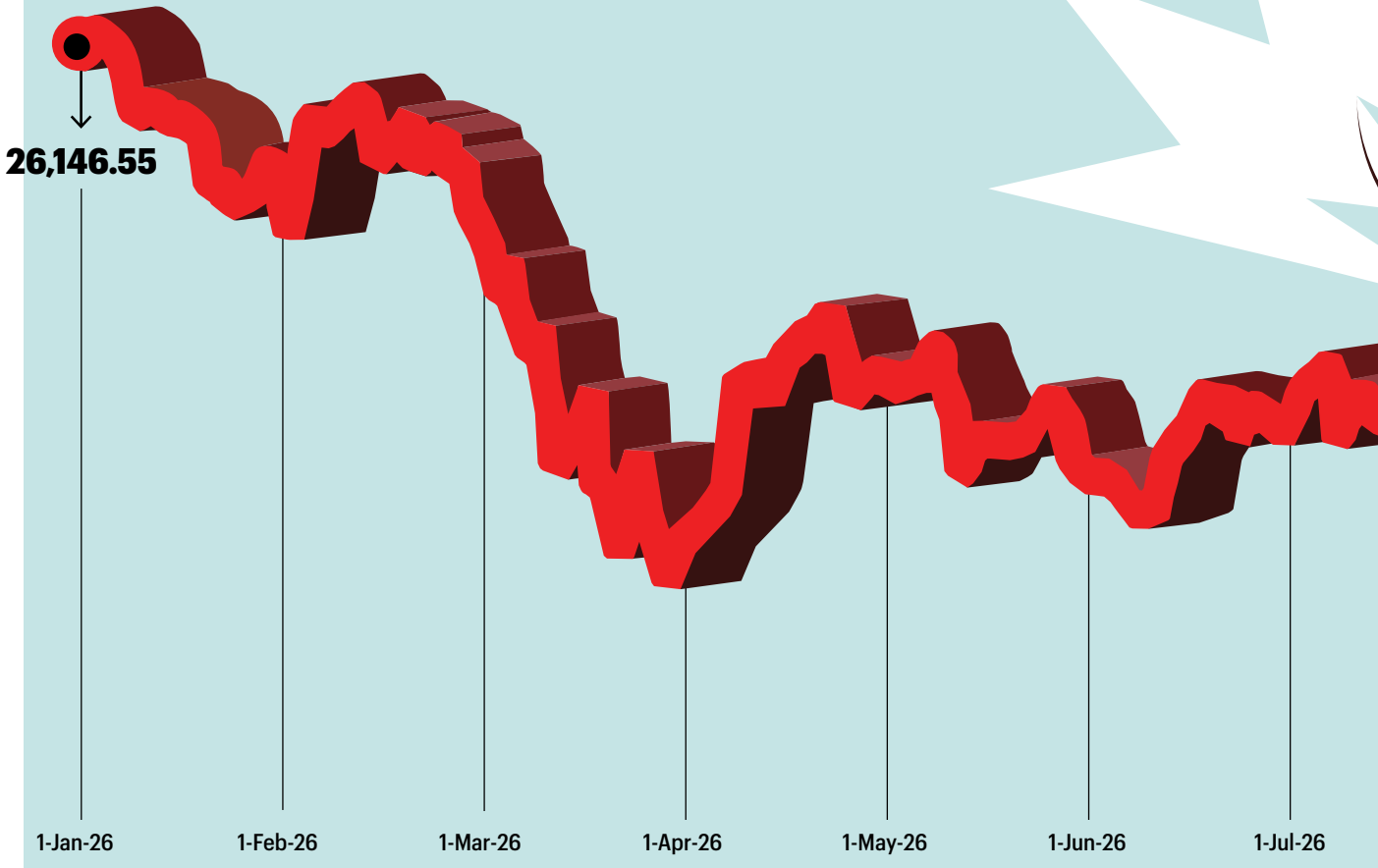
AFTER THE FALL

The Nifty's steep correction has shaken investors, but falling valuations and resilient economic growth are prompting fund managers to see opportunity amid the turmoil

BY **SHAILENDRA BHATNAGAR**



MARKET CALL: STAY PUT

- The Nifty's forward P/E has fallen to around 17–18x from 23–24x in 2024, bringing several blue-chip stocks below their 10-year median valuations
- More than ₹2 lakh crore was raised in each of FY25 and FY26 through IPOs, diverting some retail money towards new issues while giving promoters and private-equity investors a route to cash out
- Fund managers see opportunities in a stock-picker's market, but argue against indiscriminate buying, favouring a diversified mix of equities, gold and corporate bonds for long-term investors